INDIGENE

GST 105 — ENTREPRENEURSHIP

Exam-Ready Master Summary + Cheat Codes

Covers all 3 Modules / 12 Study Sessions: Origin of Entrepreneurship • Motivation, Creativity & Innovation • Business & Business Environment • Forms of Business Ownership • Teamwork & Group Dynamics • Vision, Mission & Objectives • Government & Regulatory Agencies • Business Plan & Feasibility Studies • Sources of Business Finance • Ethics in Entrepreneurship • Successful Nigerian Entrepreneurs • Economic Development through Entrepreneurship.

Built from the National Universities Commission (NUC) GST 105 Entrepreneurship Studies module for Distance Learners in the Nigerian University System.

MODULE 1

Study Session 1: Origin and Concepts of Entrepreneur & Entrepreneurship

Origin

The word **entrepreneur** comes from the French **"entreprendre"** = "to undertake." **Richard Cantillon** (a French economist) was the first to introduce the concept "entrepreneur" in 1755 (per Schumpeter, 1951), viewing the entrepreneur as a **risk taker**. **Jean-Baptiste Say** (1821) identified the entrepreneur as a new economic phenomenon. **John Stuart Mill** stressed the significance of entrepreneurship for economic growth. **Alfred Marshall** (1890) formally recognized entrepreneurship as a factor of production, viewing it as organization creation.

> ■ **EXAM HACK — 1755 / Cantillon / Say / Marshall**
>
> Cantillon = coined 'entrepreneur' (1755, risk-taker). Say (1821) = entrepreneur as new economic phenomenon. Mill = stressed its importance to growth. Marshall (1890) = formally recognized it as a factor of production. These 4 names + roles are a favourite MCQ set.

Key Definitions

- **Entrepreneurship** = a function involving the exploitation of opportunities that exist within a market; all processes/activities involved in establishing, nurturing and sustaining a business enterprise.
- **Cantillon (circa 1730)**: entrepreneurship = "self-employment of any sort".
- **Schumpeter (1934)**: entrepreneurship = innovation applied to a business context, emphasizing combination of resources.
- **Penrose (1963)**: activity of identifying opportunities within the economic system.
- **Gartner (1988)**: entrepreneurship = the creation of new organizations.
- **Entrepreneur** = one who combines input factors innovatively to generate value exceeding cost, creating wealth; a risk-bearer, coordinator/organizer, gap-filler, leader, and innovator/creative imitator (Schumpeter, 1951).
- **Knight (1921)**: entrepreneurs predict and act upon change within markets.
- **Intrapreneur** = an entrepreneur who works WITHIN an existing organization (cannot start his own business) but pursues exploitation of business opportunities as a visionary in that organization.
- **Technopreneur** = an individual whose business is in high technology, combining technological innovation with entrepreneurial spirit (Ogundele, 2007).

Types of Entrepreneurs (Rockstar, 2008)

- **Innovative** — preoccupied with introducing something new; invests in R&D.;
- **Imitating** — "copy cats"; replicate an existing system better than the original.
- **Fabian** — very careful/cautious, lazy, shy away from innovation.
- **Drone** — resistant to change; "old school"; stick to traditional/orthodox methods.

> ■ **EXAM HACK — I.I.F.D.**
>
> Innovative–Imitating–Fabian–Drone (I-I-F-D). Innovative=new; Imitating=copy better; Fabian=cautious/lazy; Drone=resistant to change/old school. Exams love matching definitions to these 4 labels.

3 Behavioural Roles of Entrepreneurs

Entrepreneurs act as agents of: (1) **Economic** change, (2) **Social** change, (3) **Technological** change.

Characteristics of Entrepreneurship (Rockstar, 2008)

- **Creative Activity** — involves product/production-technique innovation.

- **Dynamic Process** — must account for the dynamic business environment.
- **Purposeful Activity** — done for a specific purpose (profit, humanitarian, market difference).
- **Involves Risk** — decisions have far-reaching impact and are hard to reverse.

Characteristics of Entrepreneurs — Driessen & Zwart (2010)

3 main characteristics: Need for Achievement (n Ach), Internal Locus of Control (ILOC), Risk Taking Propensity (RTP). **5 secondary characteristics:** Need for Autonomy (n Aut), Need for Power (n Pow), Tolerance of Ambiguity (ToA), Need for Affiliation (n Aff), Endurance (End).

> **■ EXAM HACK — 3 + 5 Split**
>
> Driessen & Zwart = 3 MAIN (nAch, ILOC, RTP) + 5 SECONDARY (nAut, nPow, ToA, nAff, Endurance) traits of successful entrepreneurs. Exam loves asking 'how many' for each category — 3 vs 5, not 8 total in one group.

Other characteristics discussed: Risk Bearing Ability, Technical Knowledge, Ability to Gather Financial/Motivational Resources, Self-Confidence & Multi-Skilled, Confidence in Adversity, Innovative Skills, Results-Oriented, Total Commitment, Calm, Focused, Tolerance, Balance, Versatility, Seriousness, Planning Ability, Prudence, Customer-Centric, Team Player.

Roles of Entrepreneurs — Basic Managerial Roles (Henry Mintzberg, 1973)

- **Figure Head Role** — performs ceremonial duties, represents the organization.
- **Leader Role** — hires, fires, trains, motivates people.
- **Liaison Role** — link between the business and outside parties.
- **Monitor Role** — monitors internal and external environment.
- **Information Disseminator Role** — transmits info within/outside the business.
- **Spokesman Role** — represents the business inside and outside.
- **Entrepreneurial Role** — launches new ideas, bears risk (the BASIC role).
- **Disturbance Handler** — arbitrates conflict to maintain harmony.
- **Resource Allocator** — decides how scarce resources are allocated.
- **Negotiator Role** — negotiates on behalf of the business.

> **■ EXAM HACK — Mintzberg 1973**
>
> ALL 10 managerial roles trace back to Henry Mintzberg (1973), 'The Nature of Managerial Work'. The 'Entrepreneurial Role' itself is just ONE of the 10 — don't confuse it with the overall entrepreneur being described.

Specific Entrepreneurial Roles (Ogundele, 2007)

Social: transform indigenous industry, stimulate indigenous entrepreneurship, create jobs, redistribute wealth. **Economic:** bear risk of uncertainty, mobilize savings, provide channel for disposal of economic activities, utilize local raw materials/human resources. **Technological:** stimulate indigenous technology, adapt traditional tech to modern systems, adapt imported tech locally, develop technological competence through innovation.

Study Session 2: Entrepreneurial Motivations, Variables, Creativity & Innovation

Motivational Influences (Bright Side) — Shane et al.

- **Need for Achievement (N Ach)** — McClelland's theory; high N Ach individuals pursue moderately difficult goals with clear feedback.
- **Risk Taking Propensity** — willingness to take MODERATE risks (Begley, 1995); offshoot of N Ach.

- **Tolerance for Ambiguity** — ability to respond positively to unstructured/uncertain situations (Teoh & Foo, 1997).
- **Locus of Control** — INTERNAL locus (believe personal actions control outcomes) propels entrepreneurship; EXTERNAL locus = believe fate/luck controls outcomes.
- **Self-Efficacy** — task-specific self-confidence (Bandura, 1997).
- **Desire for Independence** — financial or job independence; taking responsibility for one's own judgment.
- **Drive** — willingness to put forth effort; 4 aspects: ambition, goals, energy/stamina, persistence.
- **Egoistic Passion** — passionate, selfish love of the work itself (Shane et al., 2003).

> **■ EXAM HACK — McClelland = N Ach**
>
> David C. McClelland is THE Father of the Need for Achievement (N Ach) Theory — a very commonly isolated MCQ fact.

Non-Motivational Influences (Dark Side)

- **Opportunity Cost** — entrepreneurs act when they have LESS to lose (Amit et al., 2009).
- **Stocks of Financial Capital** — older workers more likely to become entrepreneurs (had time to build capital) (Evans & Leighton, 1989).
- **Social Ties to Investors** — entrepreneurs embed in social contexts (Aldrich & Zimmer, 1986).
- **Career Experience** — job dissatisfaction + experience → entrepreneurship.
- **Life-Path Circumstances** — Unsatisfactory Work Environment, Negative Displacement, Career Transition, Positive Pull Influences.
- **Background Characteristics** — childhood, family environment, education, age, work history.

Entrepreneurship Variables

Two factors affect the SUPPLY of entrepreneurship: **Opportunity** and **Willingness**. Opportunity is shaped by (1) the individual's intrinsic entrepreneurial ability/intuition, and (2) the general macro-economic environment.

Creativity vs Innovation

Creativity = "the ABILITY to bring something new into existence" (emphasis on ability, not activity). **Innovation** = the PROCESS of doing new things; converting creative ideas into marketplace reality. Creativity is a PREREQUISITE to innovation (Holt, 1992).

> **■ EXAM HACK — Ability vs Process**
>
> Creativity = ABILITY (can conceive but not act). Innovation = PROCESS (doing new things / converting ideas to reality). Trap answer: swapping these two definitions.

5 Stages of Creativity (Holt, 1992)

- 1. **Idea Germination** — seeding stage; interest/curiosity begins.
- 2. **Preparation** — conscious search for knowledge/answers.
- 3. **Incubation** — subconscious assimilation; 'mulling it over'.
- 4. **Illumination** — idea surfaces as a realistic creation.
- 5. **Verification** — application/test to prove the idea has value.

> **■ EXAM HACK — 5 Stages Mnemonic**
>
> G-P-I-I-V: Germination → Preparation → Incubation → Illumination → Verification. 5 stages exactly (a common exam number-check trap: 'how many stages?').

Critical Factors for Individual Creativity (Adams, 2005)

- Knowledge (T-shape mind)

- Thinking (synergistic + analytical/practical)
- Personal Motivation
- Environment (non-threatening, non-controlling)
- Explicit decision to be creative

Forms of Innovation (Hamel, 1997)

- **Technological Innovativeness** — research/engineering for new products & processes.
- **Products-Market Innovativeness** — market research, product design, advertising/promotion innovations.
- **Administrative Innovativeness** — novelty in management systems, control techniques, org structure.

Innovation by Degree of Change (Henderson & Clark, 1990)

- **Incremental** — small modifications to pre-existing solutions (e.g. faster spinning hard drives).
- **Modular** — changes core design of ONE component, not whole architecture (e.g. digital replacing analog phone).
- **Architectural** — reconfigures how established components link together in a NEW way (e.g. shrinking hard drive disk size).
- **Radical** — brand-new dominant design + new core design concepts + new architecture.

> **■ EXAM HACK — Incremental→Modular→Architectural→Radical**
>
> Order of increasing disruption: Incremental (smallest change) < Modular < Architectural < Radical (biggest change/new dominant design). 'New dominant design' = always Radical, never Architectural — classic trap.

Moore's (2004) Innovation Taxonomy

- Disruptive Innovation
- Application Innovation
- Product Innovation
- Process Innovation
- Experiential Innovation
- Marketing Innovation
- Business Model Innovation
- Structural Innovation

5 Phases of Successful Innovation (Desouza et al., 2007)

- 1. Idea Generation and Mobilisation
- 2. Advocacy and Screening
- 3. Experimentation
- 4. Commercialisation
- 5. Diffusion and Implementation

> **■ EXAM HACK — An invention ≠ an innovation**
>
> According to Desouza et al. (2007): an invention is only considered an INNOVATION once it has been COMMERCIALISED. This exact phrase is a favourite True/False trap.

Study Session 3: Concept of Business and Business Environment

Business & Organic Business Functions

Business = an economic system in which goods/services are exchanged for money based on perceived worth; any undertaking dealing with production/distribution of goods & services satisfying human needs.

4 Organic Business Functions: Production, Marketing, Finance, Personnel.

Managerial Functions (POSDCORB): Planning, Organizing, Staffing, Directing, Coordinating, Reporting, Budgeting.

> ■ **EXAM HACK — POSDCORB ≠ Organic Functions**
>
> Don't confuse the 4 ORGANIC business functions (Production, Marketing, Finance, Personnel) with the 7 MANAGERIAL functions (POSDCORB). Two different lists, two different counts.

Characteristics of the Business Environment (Kazmi, 1999)

- Stable Condition — highly predictable, permits standardization.
- Simple Condition — knowledge broken into easily comprehended components.
- Dynamism — continuously changing.
- Complexity — many interacting components.
- Multifaceted — many-sided; a threat to one org may be an opportunity to another.
- Far-reaching impact — ripple effect across the system.

Entrepreneurs must monitor **macro-environmental forces** (demographic/economic, technological, political/legal, social/cultural) and **micro-environmental forces** (customers, competition, distribution channels, suppliers) — Kotler, 1995.

Internal vs External Environment

Internal (controllable) — organizational goals, technologies, personnel, admin units, product/service nature. Assessed via the **5 S's**: Skills, Strategy, Staff, Structure, Systems (Shared Values sometimes added as a 6th).

External (uncontrollable) — Demographic, Political/Legal, Technological, Natural Environment, Socio-Cultural, Economic, Competitive Environment (Monopoly, Oligopoly, Monopolistic Competition, Perfect Competition), Suppliers, Intermediaries, Customers.

Intermediate environment — borderline factors: customers, suppliers, support systems e.g. the **National Directorate of Employment (NDE)**, established November 1986, with 4 core programmes: Small-Scale Industries & Graduate Employment/Vocational Skills Development; Support for Agricultural Programmes; National Youth Employment & Vocational Skills Development; Special Public Works Programmes.

> ■ **EXAM HACK — NDE = 1986**
>
> NDE was established by the Federal Government of Nigeria in **November 1986** to tackle mass unemployment, especially among school leavers/graduates — a specific date exam favourite.

SWOT Analysis

SWOT = Strengths, Weaknesses, Opportunities, Threats. Strengths/Weaknesses come from INTERNAL scanning (via the 5 S's). Opportunities/Threats come from EXTERNAL scanning. A business can be classified as: **Ideal** (high opportunity, low threat), **Speculative** (high both), **Mature** (low both), **Troubled** (low opportunity, high threat).

> ■ **EXAM HACK — SWOT Quadrant**
>
> Ideal=High Opp/Low Threat. Speculative=High Opp/High Threat. Mature=Low Opp/Low Threat. Troubled=Low Opp/High Threat. Memorize this 2x2 grid — a classic scenario-based question source.

Study Session 4: Forms of Business Ownership and Legal Implications

3 Categories of Legal Ownership

Every business fits: **Sole Proprietorship**, **Partnership**, or **Corporation/Company** (Brone and Kurtz, 2009).

Sole Proprietorship

Owned/managed by ONE individual; no legal distinction between the owner and the business. Simplest, most popular form in Nigeria.

- **Advantages:** least cost, minimal legal restriction, ownership of all profit, no special taxes, maximum incentive, privacy, flexibility, easy to discontinue.
- **Disadvantages:** unlimited personal liability, limited access to capital, limited skills, isolation/time commitment, few fringe benefits, limited growth, lack of continuity.

Partnership

Minimum **2**, maximum **20** partners (exception: professional partnerships e.g. lawyers, accountants can exceed 20).

- **4 Types by liability:** General Partnership, Limited Partnership (governed by Partnership Act 1907), Master Limited Partnership (MLP — taxed like a partnership, trades like a corporation), Limited Liability Partnership (LLP).
- **6 Types of Partners:** General (unlimited liability, active management), Limited (invests, no management/liability beyond investment), Silent (known as owner, no active role), Secret (active role, unknown to outsiders), Sleeping/Dormant (neither known nor active), Nominal (publicly known but no investment/no management rights, may be liable for debts).

> **■ EXAM HACK — Silent vs Secret vs Sleeping vs Nominal**
>
> SILENT = known publicly, NOT active. SECRET = active, NOT known publicly (opposite of Silent!). SLEEPING/Dormant = neither known nor active. NOMINAL = known publicly, NO investment/management, but can still be liable for debts. These 4 are the #1 confusion trap in this session.

Dissolution = a general partner ceases association (expiry, expressed wish, expulsion, withdrawal/death/insanity, bankruptcy, new partner admitted, judicial decree, mounting losses, impropriety). **Termination** = the final act of intentionally CLOSING the partnership as a business.

Limited Liability Companies (CAMA 1990)

The **Companies and Allied Matters Act (CAMA) of 1990** guides company formation/registration in Nigeria. Section 18: 2+ persons may form/incorporate a company. Section 20 disqualifies: under 18, unsound mind, un-discharged bankrupt, or disqualified under Section 254 (convicted of an offence re: company promotion/formation/management).

- **3 Types of Companies:** Limited by Shares, Limited by Guarantee, Unlimited Company.
- **Private company:** minimum 2, MAXIMUM 50 members (excluding employees); shares NOT publicly transferable; name ends in "Limited" (Ltd).
- **Public company:** minimum 2, NO maximum; shares freely transferable; name ends in "PLC".

> **■ EXAM HACK — Private = 50 max; Public = no max**
>
> Private company caps at 50 members (excluding past/present employees). Public company (PLC) has NO maximum. Minimum for BOTH is 2. A repeatedly tested number pair.

Documents of Incorporation (Section 35): Memorandum of Association, Articles of Association, Notice of registered/head office address, Statement of first directors, Statutory declaration of compliance, other CAC-required documents. **Memorandum** is SUPERIOR to Articles of Association — wherever they conflict, the Memorandum prevails.

Minimum share capital: Private company = **■10,000**; Public company = **■500,000**. Subscribers must subscribe at least **25%** of share capital.

> **■ EXAM HACK — ■10,000 vs ■500,000**

Private company minimum share capital = ■10,000. Public company = ■500,000 (50x more). Subscription clause = minimum 25% of share capital. These 3 numbers are a classic exam trio.

Co-operatives

Collective ownership of production/storage/transport/marketing. **3 Types:** Consumer/producer co-operative, Workers co-operative, Finance co-operatives.

Study Session 5: Teamwork, Group Dynamics and Entrepreneurship

Team — Definition & Typology (Daft, 1997)

A **team** = a unit of 2+ people who interact and coordinate their work to accomplish a specific goal.

- **Formal teams** (part of formal org structure): Vertical (manager + subordinates, aka functional/command team), Horizontal (same hierarchical level, different expertise — task forces/committees), Special-purpose (outside formal org, for special projects).
- **Self-directed teams** (increase low-level worker participation): Problem-solving teams (5-20 multi-skilled workers who rotate jobs), Self-directed teams (special skills, minimal supervision).

5 Stages of Team Formation

- Forming — learn task/rules/methods.
- Stormy — emotional resistance to task demands.
- Norming — open exchange, cooperation develops.
- Performing — solutions emerge, constructive task completion.
- Adjusting — modifications from feedback.

■ EXAM HACK — Forming-Stormy-Norming-Performing-Adjusting

F-S-N-P-A. This is a Nigerian-textbook variant of the classic Tuckman model (which uses 'Storming' not 'Stormy') — the SAQs in this module use 'Stormy' exactly, so match the document's spelling.

Theories of Group Formation

- **Propinquity** — affiliation due to spatial/geographical proximity.
- **George Homans' theory** (Activities, Interactions, Sentiments) — more shared activities → more interactions → stronger sentiments (and vice versa).
- **Balance Theory (Theodore Newcomb)** — attraction based on similar attitudes toward shared objects/goals.
- **Exchange Theory** — based on reward-cost outcomes; rewards must exceed costs for affiliation.

Types of Groups

- Primary group — intimate, face-to-face, shapes social nature/ideals.
- Work group — created by formal authority to transform inputs into outputs.
- Formal group — created through formal authority for a given purpose.
- Informal group — emerges unofficially, often as cliques within formal groups.
- Psychological group — members truly interact, share group purpose.
- Membership / Reference / In-group / Out-group / Command group / Task force group.

Group Decision-Making Methods

- By lack of response
- By authority rule
- By minority rule

- By majority
- By Consensus — support of most, even opponents feel heard
- By Unanimity — ALL members agree

> **■ EXAM HACK — Consensus ≠ Unanimity**
>
> Consensus = MOST support it (opponents still feel heard). Unanimity = ALL agree, no exceptions. A very commonly swapped pair in MCQs.

MODULE 2

Study Session 1: Vision, Mission & Objectives in Entrepreneurship Development

Vision

Vision = a mental image/picture of a preferred future (individual or organizational); non-specific guidance normally produced by the CEO (Haggins & Vineze).

2 Components of Vision (Collins & Porras, 1996): Core Ideology (enduring character — further split into **Core Value** = guiding principles/beliefs, and **Core Purpose** = reason for existence) and **Envisioned Future** (creative, motivating even after founders are gone).

> **■ EXAM HACK — Core Ideology = Core Value + Core Purpose**
>
> Vision has 2 main components (Core Ideology + Envisioned Future); Core Ideology itself splits further into Core Value and Core Purpose. Don't flatten this into '3 equal components' — it's a 2-then-2-sub-parts structure.

Effect of removing key factors: Take away Vision → Confusion. Take away Skills → Anxiety. Take away Incentives → Gradual change. Take away Resources → Frustration. Take away Action Plan → False starts.

> **■ EXAM HACK — Vision-Skills-Incentives-Resources-ActionPlan**
>
> Removing each element causes a DIFFERENT specific failure: Vision→Confusion, Skills→Anxiety, Incentives→Gradual Change, Resources→Frustration, Action Plan→False Starts. Exams test this matching directly.

Mission Statement

Mission = the fundamental, unique purpose that sets a business apart & identifies scope of operations (Pearce II & Robinson Jr., 2004).

7 Characteristics of an effective Mission Statement (Kazmi, 2004): Visible, Precise, Clear, Motivating, Distinctive, Indicates major strategy components, Indicates how objectives will be accomplished.

Goals vs Objectives

Goals = BROAD, what an org hopes to accomplish (qualitative). **Objectives** = CONCRETE, specific, measurable, quantitative — objectives make goals OPERATIONAL.

> **■ EXAM HACK — Goals = Broad, Objectives = Specific**
>
> Goals are the big-picture direction (qualitative); Objectives break them down into measurable, time-bound targets (quantitative). This distinction is a guaranteed exam item.

Study Session 2: Roles of Government and Business Regulatory Agencies in Nigeria

3 Levels of Regulation in Nigeria

Federal Legislation Acts, State Legislation Laws, Local Government By-laws. Business falls under the **concurrent legislative list** — Federal AND State can legislate, but Federal law supersedes in conflict.

Key Regulatory Agencies

- **Corporate Affairs Commission (CAC)** — established by CAMA 1990; regulates company formation/incorporation/registration/winding up; HQ in **Abuja**.
- **NAFDAC** — National Agency for Food and Drug Administration and Control; established under **Decree No. 15 of 1993**; regulates food, drugs, cosmetics, medical devices, bottled water, chemicals.
- **Standard Organisation of Nigeria (SON)** — originally the Nigerian Standard Organization Act of **1971**; sets/certifies standards, can seal/confiscate assets of non-compliant firms.
- **ICPC** — Independent Corrupt Practices and Other Related Offences Commission; ICPC Act **2000**; investigates corruption complaints, prosecutes offenders, educates the public.
- **EFCC** — Economic and Financial Crimes Commission; established by Act of Parliament in **2004**; investigates financial crimes (advance fee fraud, money laundering, counterfeiting, etc.).

> **■ EXAM HACK — CAC=1990 / NAFDAC=1993 / SON=1971 / ICPC=2000 / EFCC=2004**
>
> Memorize this date ladder in order: SON (1971) → CAC/CAMA (1990) → NAFDAC (1993) → ICPC (2000) → EFCC (2004). A favourite 'match the agency to its year' or 'which came first' exam question.

Other regulatory/supportive agencies: Governing Council of National Office of Industrial Property, Productivity Prices and Income Board, Central Bank of Nigeria (CBN), Nigerian Stock Exchange (NSE), Securities and Exchange Commission (SEC), National Insurance Corporation (NICON), Raw Materials Research and Development Council (RMRDC), Nigerian Deposit Insurance Corporation (NDIC), Nigerian Export Credit Guarantee Insurance Corporation.

Promotional/Supportive Roles of Government

- Tax Holiday — temporary reduction/elimination of tax as investment incentive.
- Financial Incentive schemes.
- Infrastructural Development.
- Subsidies.
- Credit facilities via government financial agencies.
- Export Promotion — **Nigerian Export Promotion Council (NEPC)**, established by Decree No. 26 of **1976**, inaugurated March 1977.
- Creation of business incubator units.

> **■ EXAM HACK — NEPC = 1976**
>
> The Nigerian Export Promotion Council was established via Decree No. 26 of 1976 (inaugurated March 1977) — distinct from the later amending decrees (1979, 1986, 1988, 1992).

Study Session 3: Writing Business Plan and Feasibility Studies

Feasibility Study = comprehensive process for identifying problems/opportunities, determining objectives, describing situations, defining successful outcomes, and assessing costs/benefits of alternatives (Thompson, 2005). It comes BEFORE and FEEDS INTO the Business Plan.

Components of a Feasibility Study

- Executive Summary (written LAST, presented FIRST; max 1 page)
- Product/Service
- Technology
- Intended Market Environment (Target Market)
- Competition
- Industry
- Business Model
- Marketing and Sales Strategy

- Production/Operating Requirements
- Management and Personnel
- Regulations/Environmental Issues
- Financial Projections
- Capital Requirements & Strategy
- Final Findings & Recommendations (Market, Technical, Business Model, Management Model, Economic/Financial Model, Exit Strategy viability)

> **■ EXAM HACK — Executive Summary: Last written, First read**
>
> Classic trap: the Executive Summary is WRITTEN last (after all other content is complete) but PRESENTED/appears first in the document.

Business Plan

A **Business Plan** describes a business opportunity — a 'road map.' Kuratko and Hodgetts (1998): describes to investors/financial sources all events likely to affect the venture.

Events that spur a full-scale business plan (Cagan, 2006): launching a new business, substantial growth, expanding into new markets, adding a new product/line, buying a business.

4 Principles of a Good Plan

- Explicit — all steps spelled out.
- Intelligible — understandable by those executing it.
- Flexible — capable of accepting change.
- Written — committed to writing clearly/concisely.

> **■ EXAM HACK — E-I-F-W**
>
> Explicit-Intelligible-Flexible-Written = the 4 principles of planning. Easy to test as 'which of these is NOT a principle of a good plan?'

Components of a written Business Plan: The Business Idea, The Entrepreneurs, Business Objectives, Product/Service (technical description), Financial Information (Capital Needs, Sources/Cost of Finance, Financial Viability), The Market (Market Research, Competitive Position, Marketing Program), Management and Operations, Business Organisation (legal form, licences, premises).

Study Session 4: Sources of Business Finance

3 Broad Sources of Funds

- **Personal and Family** — personal savings; loans from family/friends.
- **Internal Sources** (existing venture only) — retained profits, provisions (tax/depreciation), reducing current assets.
- **External Sources** — split into Short-term, Medium-term, Long-term finance.

External Sources — Short-Term Finance (maturity < 1 year)

- Open account/Trade credit (Accounts payable) — typically paid in 30–90 days.
- Account receivable financing (incl. factoring).
- Bank overdraft facilities.
- Notes payable (e.g. promissory notes).
- Commercial draft.
- Bill of exchange.
- Loans from acceptance houses (e.g. letter of credit).

- Specialized institutions (microfinance banks, cooperative banks, agric. development banks).
- Factoring.
- Discounting bills.

External Sources — Medium-Term Finance (2–5 years)

- Bank loans (5 key questions banks ask: what will you do with it, how much, when, for how long, how will you repay).
- Credit unions (non-profit, lower interest than banks).
- Equipment Leasing ("Rent").
- Hire Purchase (ownership transfers after final instalment).
- Finance Companies (asset-based lenders, higher interest than banks).

External Sources — Long-Term Finance

- Equity Finance/Shareholders' Fund — no repayment obligation, but shares ownership/profits.
- Bonds/Debenture — secured (collateral pledged, right of lien) or unsecured (claim on earnings only). In liquidation, debenture holders are settled BEFORE preference shareholders.
- Mortgage Financing — for landed property; duration can exceed 20 years.

> **■ EXAM HACK — Short<1yr / Medium 2-5yrs / Long term>5yrs (mortgage up to 20+)**
>
> Duration ladder: Short-term (under 1 year) → Medium-term (2–5 years) → Long-term (mortgages can run 20+ years). A number-matching favourite.

DMBs SME lending data (1992–2001): Total loans disbursed = ■3,031,226.1 million; SMEs received only **■426,826.8 million (14%)**, other sectors took **86%**. Reasons for low SME lending: high interest rates, lack of collateral, poor track record, low education level, poor business proposals.

> **■ EXAM HACK — SMEs got only 14%**
>
> Of total DMB loans 1992–2001, SMEs received just 14% (other sectors 86%) — a specific and testable statistic from the Raw Material Research and Development Council Publication (2005).

Study Session 5: Ethics in Entrepreneurship

Ethics (Microsoft Encarta, 2008) = a system of moral principles governing appropriate conduct for a person/group/organization/institution.

Key Concepts

- **Corporate Social Responsibility** — ethical rights/duties between a company and its host society.
- **Fiduciary Responsibility** — moral rights/duties between a company and its shareholders.
- **Corporate Governance** — concerned with the QUALITY of leadership of organizations.
- **Corporate Manslaughter** — mirrors the misuse of corporate ethics policies as marketing instruments.

> **■ EXAM HACK — CSR vs Fiduciary vs Governance**
>
> CSR = company↔SOCIETY. Fiduciary = company↔SHAREHOLDERS. Governance = quality of LEADERSHIP. Three similarly worded concepts, three distinct targets — a guaranteed matching-type MCQ.

Corporate Ethics Policies: broad, generalized = **ethics statement**; detailed, specific behavioral requirements = **ethics code**.

International Business Ethics emerged in the late 1990s (business ethics itself emerged in the 1970s). Emphasizes **cultural relativity of ethical values**.

■ EXAM HACK — Business ethics=1970s, International business ethics=late 1990s

A 20-year gap between when the general field emerged versus its international branch — a classic 'which came first' question.

4 Reasons Ethics is Necessary in Business (Ogundele, 2011)

- To enhance competition.
- To preserve legitimacy.
- To deter white-collar crime.
- To promote trust.

Milton Friedman was a leading proponent of the view that a business's principal purpose is to maximize shareholder returns. Others argue businesses have moral duties to **stakeholders** (employees, customers, vendors, community, society) beyond just obeying the law — some adapt **social contract theory** to business, giving stakeholders a voice in governance.

MODULE 3

Study Session 1: Some Successful Nigerian Entrepreneurs

Evolution of Contemporary Nigeria — Key Facts

- Present-day Nigeria amalgamated by the British in **1914**.
- Nigeria gained independence in **1960** (after ~60 years of British rule).
- Structure changed: 3 regions → **12 states (1967)** → **19 states (1976)** → currently **36 states** + FCT Abuja.
- **Abuja** = political capital; **Lagos** = commercial capital; **Port-Harcourt** = 'oil capital'; **Kano** = historically groundnut/cotton capital.
- Area: **923,300 sq km** — 4th largest in West Africa.
- Governance timeline: Democratic (1960–1966) → Military (1966–1979) → Democratic (~4 yrs) → Military (1983–1991) → brief interim democracy (Chief Ernest Shonekan, ~3 months) → General Sani Abacha (Head of State till his death, 1999) → General Olusegun Obasanjo sworn in **May 29, 1999** (democratic government since).

> **■ EXAM HACK — 1914 / 1960 / 1999**
>
> 1914 = Amalgamation (Lugard). 1960 = Independence. May 29, 1999 = Obasanjo sworn in, restoring/continuing democracy (now celebrated as Democracy Day). These 3 dates anchor the whole Nigeria-history mini-timeline in this session.

Development of Entrepreneurship in Nigeria

Modern entrepreneurship began with colonization; colonialists used Nigerians as middlemen (retailers/sole proprietors). The **United African Company (UAC)** hindered indigenous entrepreneurship by dealing DIRECTLY with producers instead of through Nigerian middlemen. Chief **Obafemi Awolowo's** free education policy (Western Nigeria) later expanded education access, indirectly boosting the pool of potential entrepreneurs. Support institutions established: **National Directorate of Employment (NDE)**, The Peoples' Bank of Nigeria, Funds for Small-Scale Industries (FUSSI), **National Poverty Alleviation Programme (NAPEP)**.

Entrepreneur vs Social Entrepreneur

Entrepreneur = profit-oriented. **Social Entrepreneur** (Osalor, 2010) = identifies public problems and applies business acumen to resolve them; success measured by BOTH profit AND societal impact. Social entrepreneurs bear extra risk dimensions: financial security + social activism + passion (vs just financial security for ordinary entrepreneurs).

Notable Nigerian Entrepreneurs

- **Aliko Dangote** (b. 1957) — Dangote Group (sugar, cement, flour, salt, real estate).
- **Mike Adenuga Jr.** (b. 1953) — Consolidated Oil (first indigenous co. to strike crude, Dec 1991), Equatorial Trust Bank, Globacom (won Second National Operator/SNO licence in 2002).
- **Chidi Anyaegbu** — Chisco Transport/Chisco Group.
- **Obateru Akinruntan** — Obat Oil & Petroleum Ltd (1981); largest privately-owned oil depot/jetty in Africa.
- **Razaq Okoya** — Eleganza Industries.
- Others: Chris Ejiofor (Dimaps Batteries), Paul Okafor (Elbe Pharma), Poly Emenike (Neros Pharmaceutical), Uche Uche Ohafia (Trans Atlantic Shipping).

> **■ EXAM HACK — Globacom = 2002 SNO licence**
>
> Adenuga's FIRST telecom attempt (CIL, 1999) failed when his conditional licence was revoked; Globacom succeeded via the Second National Operator (SNO) licence won in 2002 — don't confuse the two dates/companies.

Notable Nigerian Social Entrepreneurs (Osalor, 2010)

- **Ada Onyejike** — Girl Child Art Foundation (GCAF), 2000; empowers young women 8–25 years.
- **Cletus Olebune** — African tourism promotion.
- **Durojaiye Isaac** — DMT Mobile Toilets, Lagos, 1999 ("Shit business is Good Business").
- **Gabriel Uriel Ogunjimi** — Landmark Internship International (IT/employment).
- **Joachim Ezeji** — Rural Africa Water Development Project (RAWDP), 2000.
- **Rochas Okorocha** — Rochas Foundation (child poverty alleviation).

> **■ EXAM HACK — Durojaiye Isaac = DMT Mobile Toilets (1999)**
>
> The 'Shit business is Good Business' slogan and DMT Mobile Toilets (1999) is one of the most memorable/distinctive facts in this session — near-guaranteed to appear on an exam.

Peculiarities of the Nigerian Business Environment

Nigeria's economy is a **mixed economy** (midway between capitalist/free-market and socialist/planned). Peculiar problems: Financial Problems, Infrastructural Problems, Low Standard of Business Ethics, Political Instability (relatively more stable since the 1999 democratic dispensation).

Study Session 2: Economic Development through Entrepreneurship

3 Stages of Economic Development (Porter, Sachs & MacArthur, 2002)

- **Factor-Driven Economies** — large agricultural sector; necessity-driven self-employment dominates as surplus labour migrates from agriculture toward extractive/scale-intensive sectors.
- **Efficiency-Driven Economies** — institutions emerge to support industrialization/economies of scale; necessity-driven activity gradually gives way to small-scale manufacturing.
- **Innovation-Driven Economies** — mature/wealthy economy shifts to services; opportunity-seeking, innovative entrepreneurship emerges as 'agents of creative destruction'.

> **■ EXAM HACK — Factor → Efficiency → Innovation**
>
> The 3 stages always move in this direction as an economy matures: Factor-Driven → Efficiency-Driven → Innovation-Driven. Never test them out of this order.

2 broad types of entrepreneurial activity: **Necessity-driven** self-employment (low economic development stage) vs **Opportunity-driven** entrepreneurship (higher development).

Roles of Entrepreneurship in Economic Development

- Setting corporate ethical standards (Compliance-based vs Integrity-based ethics codes).
- Employment Creation (reduces rural-urban drift and crime).
- Improved Standard of Living.
- Increase in Government Revenues (VAT, company income tax, employee income tax).
- Utilization of Local Resources.
- Development of Domestic/Indigenous Technology.
- Supplier of Raw Materials for Larger Industries.

> **■ EXAM HACK — Compliance-based vs Integrity-based**
>
> Compliance-based ethics codes = PREVENT unlawful behaviour via control/penalties. Integrity-based ethics codes = define GUIDING VALUES + shared accountability. A textbook definition-matching pair.

Vision 20:2020 / NEEDS

NEEDS = National Economic Empowerment and Development Strategy; came into operation in **2004**. Vision 2020's aim: Nigeria among the **top 20 industrialized nations** in the world by **2020**. NEEDS goals: Wealth Creation, Employment Generation, Poverty Reduction, Values Reorientation.

NEEDS Macroeconomic Framework — 3 pillars: Empowering People (health, education, environment, rural dev, housing, employment/youth dev, safety nets, gender/geopolitical balance, pension reforms), Promoting Private Enterprise (security, rule of law, infrastructure, privatization, trade, regional integration), Changing the Way Government Does Its Work (public sector reforms, privatization/liberalization, governance/transparency/anti-corruption, service delivery, budget/expenditure reforms).

> **■ EXAM HACK — NEEDS = 2004, Vision 2020 target = top 20 by 2020**
>
> NEEDS launched 2004; its ultimate industrial ranking target is 'Top 20 nations by year 2020' — don't confuse the launch year (2004) with the target year (2020).

Regional pioneers cited: Obafemi Awolowo (Western Region) — Odu'a Group, first TV station in Africa, Liberty Stadium Ibadan, funded via cocoa revenue. Ahmadu Bello (Northern Region) — Northern Nigerian Development Corporation, New Nigerian Newspapers, Bank of the North, funded via groundnuts/cotton. Michael Okpara (Eastern Region) — Eastern Nigerian Corporation, African Continental Bank, funded via palm produce/coal.

> **■ EXAM HACK — Awolowo=cocoa/West, Bello=groundnut&cotton;/North, Okpara=palm produce&coal;/East**
>
> Match each regional leader to BOTH his region AND his funding cash crop/mineral — a 3-way matching question is very likely: Awolowo↔West↔Cocoa, Bello↔North↔Groundnut/Cotton, Okpara↔East↔Palm produce/Coal.

■ CHEAT CODES — LAST-MINUTE COMPRESSED RECALL

Dates & Years Ladder

- 1755 — Cantillon coins 'entrepreneur'
- 1821 — Say identifies entrepreneur as economic phenomenon
- 1890 — Marshall recognizes entrepreneurship as a factor of production
- 1907 — Partnership Act (governs Limited Partnerships)
- 1914 — Amalgamation of Nigeria (British)
- 1934 — Schumpeter equates entrepreneurship with innovation
- 1960 — Nigerian Independence
- 1964 — Industrial Development Centres established
- 1966–1979 — First military era
- 1967 — Nigeria: 3 regions → 12 states
- 1971 — Standard Organization of Nigeria (SON) established
- 1973 — Mintzberg's managerial roles published
- 1976 — 19 states created; NEPC established (Decree No. 26)
- 1986 (Nov) — NDE established
- 1990 — CAMA (Companies and Allied Matters Act); CAC established
- 1991 — Consolidated Oil strikes crude (Dec)
- 1992 — Holt's 5-stage creative process work era
- 1993 — NAFDAC established (Decree No. 15)
- 1999 (May 29) — Obasanjo sworn in as democratic President
- 2000 — ICPC Act
- 2002 — Globacom wins SNO licence
- 2004 — EFCC established; NEEDS launched
- 2020 — Vision 2020 target year (Nigeria top-20 industrialized nation goal)

Number Locks (memorize the count)

- Types of Entrepreneurs = **4** (Innovative, Imitating, Fabian, Drone)
- Driessen & Zwart Main Characteristics = **3**; Secondary = **5**
- Mintzberg Managerial Roles = **10**
- Stages of Creativity (Holt) = **5** (Germination, Preparation, Incubation, Illumination, Verification)
- Forms of Innovation (Hamel) = **3** (Technological, Products-Market, Administrative)
- Phases of Successful Innovation (Desouza et al.) = **5**
- Business Environment Characteristics (Kazmi) = **6** (Stable, Simple, Dynamism, Complexity, Multifaceted, Far-reaching)
- SWOT internal analysis tool = 5 S's (Skills, Strategy, Staff, Structure, Systems)
- Partnership: min **2**, max **20** partners (professional firms exempt)
- Types of Partnership (by liability) = **4**; Types of Partners (by role) = **6**
- Private company: min 2, max **50** members. Public company (PLC): min 2, **no max**
- Private company min share capital = **■10,000**; Public = **■500,000**
- Subscription clause minimum = **25%** of share capital
- Regulation levels in Nigeria = **3** (Federal, State, Local Government)
- Team formation stages = **5** (Forming, Stormy, Norming, Performing, Adjusting)
- Group decision-making methods = **6** (lack of response, authority, minority, majority, consensus, unanimity)
- Mission Statement characteristics (Kazmi) = **7**
- Vision component split = **2** main (Core Ideology, Envisioned Future); Core Ideology = 2 sub-parts

- Feasibility Study components ≈ **13** sections (Executive Summary → Final Findings)
- Principles of a good Plan = **4** (Explicit, Intelligible, Flexible, Written)
- Sources of business finance = **3** broad categories (Personal/Family, Internal, External); External splits into Short/Medium/Long term
- Nigeria: **36 states** + FCT; Area = 923,300 sq km
- Reasons ethics is necessary (Ogundele) = **4** (Competition, Legitimacy, deter White-Collar Crime, Trust)
- Stages of Economic Development (Porter/Sachs/MacArthur) = **3** (Factor, Efficiency, Innovation-driven)

Classic Confusable Pairs

- **Entrepreneur** (own business) vs **Intrapreneur** (works within an org) vs **Technopreneur** (high-tech + entrepreneurial spirit)
- **Creativity** (ability to conceive) vs **Innovation** (process of doing/converting to reality)
- **Goals** (broad, qualitative) vs **Objectives** (specific, quantitative, measurable)
- **Consensus** (most agree, dissenters heard) vs **Unanimity** (100% agreement)
- **Silent partner** (known, inactive) vs **Secret partner** (active, unknown to public)
- **Internal locus of control** (self drives outcome → entrepreneurial) vs **External locus** (fate/luck drives outcome)
- **CSR** (company↔society) vs **Fiduciary responsibility** (company↔shareholders) vs **Corporate governance** (quality of leadership)
- **Compliance-based** ethics code (prevent + penalize) vs **Integrity-based** (guiding values + shared accountability)
- **Dissolution** of partnership (a partner ceases association) vs **Termination** (final act of closing the business)
- **Short-term finance** (<1 yr, e.g. trade credit, overdraft) vs **Medium-term** (2–5 yrs, e.g. bank loans, hire purchase) vs **Long-term** (equity, debenture, mortgage)
- **Secured debenture** (collateral pledged, right of lien) vs **Unsecured debenture** (claim on earnings only)
- **Necessity-driven** entrepreneurship (low development stage) vs **Opportunity-driven** (higher development stage)

Fast Agency-Function Recall

- **CAC** — registers/regulates companies (CAMA 1990, HQ Abuja)
- **NAFDAC** — food/drug/cosmetic/chemical regulation & registration (1993)
- **SON** — standards & certification, can confiscate non-compliant assets (1971)
- **ICPC** — anti-corruption investigation/prosecution/education (2000)
- **EFCC** — financial crimes: fraud, money laundering, counterfeiting (2004)
- **NDE** — unemployment interventions via 4 core programmes (1986)
- **NEPC** — export trade promotion (1976)
